

investing. They must build and manage their pension plans by themselves. They have to rely on themselves for their current and future financial situations. More often than not, only the well-disciplined self-employed survive economically over the long run.

But, you may ask, don't these people work long and hard? Yes, most successful people who are self-employed work ten to fourteen hours per day. In fact, this is why many employees shy away from even considering "going out on their own." They want something less demanding. They want to be employees. But most workers, even those with middle-level incomes, also work long and hard. As for employees who earn annual incomes in the upper five or lower six digits, much of their time and energy is allocated to their jobs. They usually don't have the benefit of writing their own job descriptions. And their occupational tasks typically don't include setting aside a few hours per week to plan their investments. In contrast, the self-employed, especially in the high-income category, have a different set of occupational goals; one of them is to become financially independent. Conversely, employees are too often fully dependent on their employers. Thus they tend to be less self-reliant when it comes to planning their investments in a way that will facilitate accumulating wealth.

There is another issue to consider in the planning equation: UAWs spend less time planning their investments than do PAWs, in part because of the nature of their investments. UAWs consider cash/near cash and equivalents, such as savings accounts, money market funds, and short-term treasury bills, to be investments. UAWs are nearly twice as likely as PAWs to hold at least 20 percent of their total wealth in cash/near cash. Most of these cash categories are federally insured. Most are easily accessed when consumption needs arise. And, of course, it takes less time to plan cash-related investments than it does to allocate wealth the way PAWs tend to do.

PAWs are more likely to invest in categories that usually appreciate in value but do not produce realized income. They tend to have a greater percentage of their wealth invested in privately held/closelyheld businesses, commercial real estate, publicly traded equities, and their pension plans/annuities and other tax-deferred categories. These types of investments require planning. They are also the foundation for wealth. UAWs hold a larger percentage of their wealth in motor vehicles and other assets that tend to depreciate.